



Strong Local content
P.10 Drama that depicts the modern African setting



DAILY NATION

★ ★ ★ Nairobi | Wednesday, March 14, 2012

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UGANDA

MONITOR PUBLICATIONS LIMITED



Monitor commissions new printing press in 2011 **Page 12**

TANZANIA

MWANANCHI COMMUNICATIONS LIMITED



Kenyan edition of Kiswahili Sports paper launched in March 2011

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PERFORMANCE | 2011 results expected to be announced

2011 Results: NMG Investor Briefing



BY ALPHONCE SHIUNDU
ashundu@ke.nationmedia.com

East Africa's largest media house will today announce its full-year 2011 financial results. Through its print, broadcast and online operations, NMG attracts regular readership and viewership that is unparalleled in the region.

On the financial front, the Group's performance over the years has been outstanding even in the leaner economic periods in the country and shows continuous growth and profits for the company as well as the shareholders.

The company, which was founded by His Highness, The Aga Khan in March 1960, continues to dominate the media landscape in print, online and broad-

CONTINUED ON PAGE 2



31

Africa coverage: Countries NMG covers through reporters and correspondents

52

Rich heritage: Number of years that Group has been in operation

66

Staying true to you NMG

New FM station launched in Rwanda



BY PETER LEFTIE
plm@ke.nationmedia.com

Nation Media Group (NMG), the Kenyan based leading media house in East and Central Africa has

ventured into Rwanda with a new radio station-98.7 KFM that intends to 'shake things up' in the market by setting new standards in broadcasting.

CONTINUED ON PAGE 4

money
 FREE WITH YOUR DAILY NATION

A business plan defines what needs to be achieved in the long term. It is not about you. It is about your idea being turned into streams of exciting work for others to bring profits.

Michael Garber, Money Magazine Thursday 20th June, 2011
 Get insights into how to invest your money. Every Thursday in your copy of the Money.



AGENDA

- 2011 Highlights
- Divisional Updates
- 2011 Group Results
- 2012 Outlook
- Q&A



2011 Highlights

World-class Journalism



South Sudan elections & independence

World-class Journalism



Uganda elections

New MPL Printing Press



Commissioned April 2011

EAST AFRICAN BUSINESS SUMMIT



the east african
business summit



THE NEXT BIG THING



SATMAG: THE LARGEST WEEKEND MAGAZINE IN THE COUNTRY

The most widely read
weekend magazine
in the country



0.2%



29%



69%

Source: KARF Establishment Study (Quater 1) 2011

Don't miss your copy this....

saturday
The all new Saturday Nation. It fills you in.

FREE WITH YOUR COPY OF THE
SATURDAY NATION

NEW-LOOK SATURDAY MAGAZINE

Before



After



BD Life



Mwanaspoti Launch



Top 40 under 40 Women



Top 40 under 40 Men



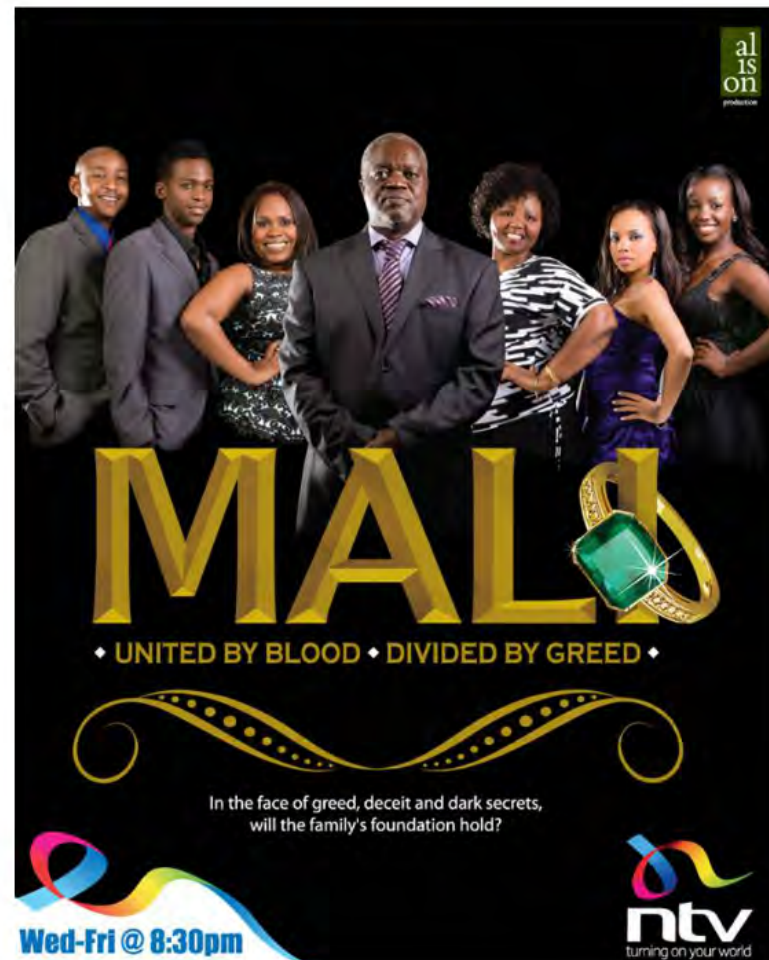
Diageo Africa Business Reporting Awards



- Best Finance Feature: Nick Wachira, Emmanuel Were and Cosmas Butunyi
- The EastAfrican, 'Why CEOs need to come clean on their pay'



NTV KENYA PROGRAMMING



World-class Journalism



World-class Journalism



Loliondo Wonder



The Enemy Within

QFM: Road Shows in Kitengela



Easy FM: New Breakfast

marcus & munene in the morning!
it's fun! seriously.



but we admit they both have the perfect face for radio.
tune in everyday 6am-10am

96.3 easyfm
number one for blues and r&b

facebook.com/easyfm

www.easyfm.co.ke

KILICLIMB



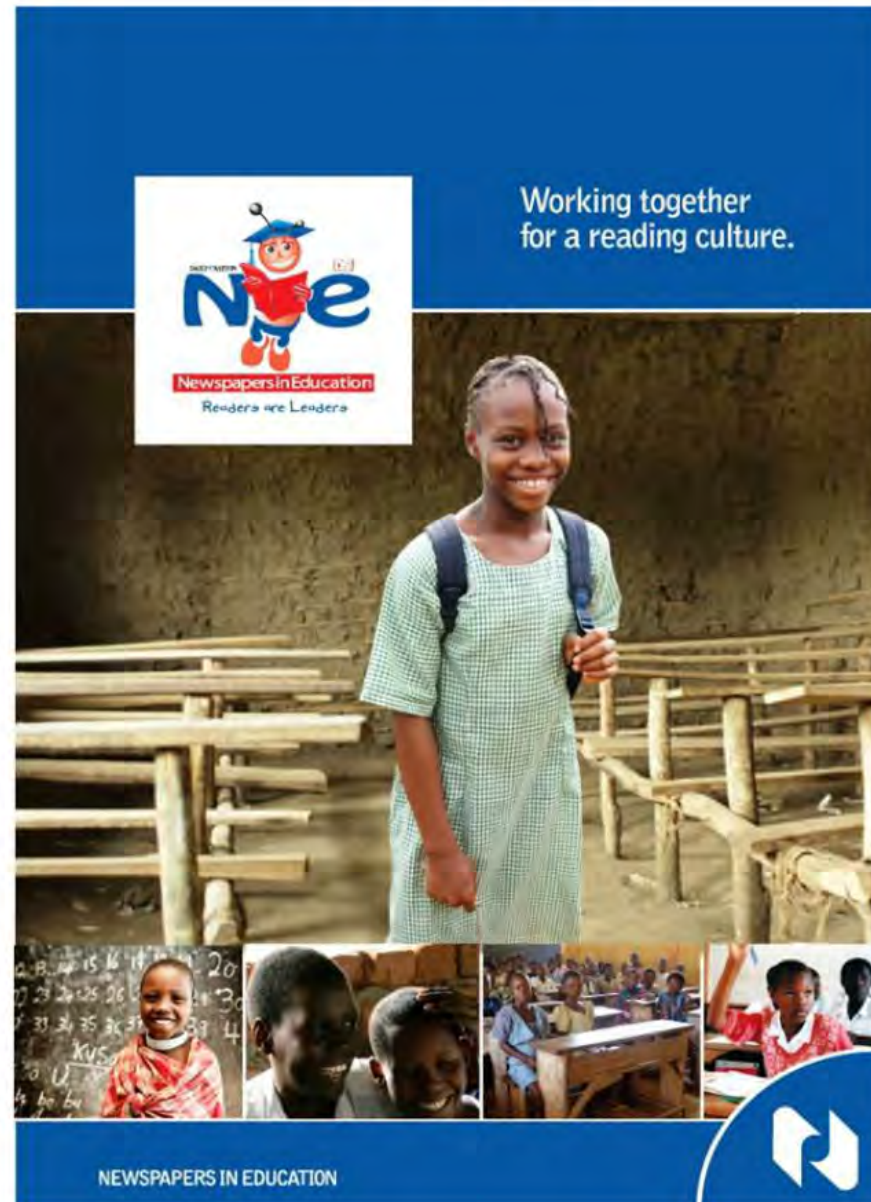
NMG COMMUNITY WEEK



SAVE THE MAU



NiE



205 schools to date

- 60 sponsored by NMG staff
- Partners: Safaricom & KCB

CHALLENGES

- Volatile economic environment
- Increase in global newsprint prices
- Talent
- Political risk
- Availability of broadcasting frequencies

HIGH INFLATION



CURRENCY DEPRECIATION



SLOWDOWN IN GROWTH





Divisional Updates

NATION NEWSPAPERS DIVISION

Circulation Revenue

 19%

Advertising Revenue

 10%

Direct Costs

 31%

Operating Profit

 13%

- New-look Saturday magazine
- Cover price increase due to increase in input costs
- Circulation market share gain

THE EASTAFRICAN

Circulation Revenue



19%

Advertising Revenue



24%

Operating Profit



16%

A new window is now open on Rwanda.

The EastAfrican UNDERSTANDING THE REGION



RWANDA EDITION NOW AVAILABLE.



BUSINESS DAILY

Circulation
Revenue



14%

Advertising
Revenue



17%

Operating
Profit



69%

The Next
Big Thing



KENYA
TOP 100
MID-SIZED COMPANIES
BUSINESS DAILY



MONITOR PUBLICATIONS

Circulation Revenue

 15%

Advertising Revenue

 14%

Direct Costs

 19%

Operating Profit

 1%

- New press installation
- Monitor re-design

MWANANCHI COMMUNICATIONS

Circulation Revenue

 36%

Advertising Revenue

 13%

Direct Costs

 60%

Operating Profit

 75%

Impressive circulation growth

NTV KENYA

Advertising Revenue

 **17%**

Operating Profit

 **40%**

- Stronger consumer connection with our content
- Mali
- County Edition

NTV UGANDA

Advertising
Revenue

↑ 28%

Direct
Costs

↑ 22%

Operating
Profit

↑ 68%

Dominance: Station with highest share of viewing in Uganda

Radio

easyfm
number one for blues and r&b



Rwanda



Revenues

↑ 16%

Investment in new
radio station in
Rwanda

NATION DIGITAL

Online Advertising

 **32%**

Direct Costs

 **41%**

Total Revenue

 **57%**

Operating Profit

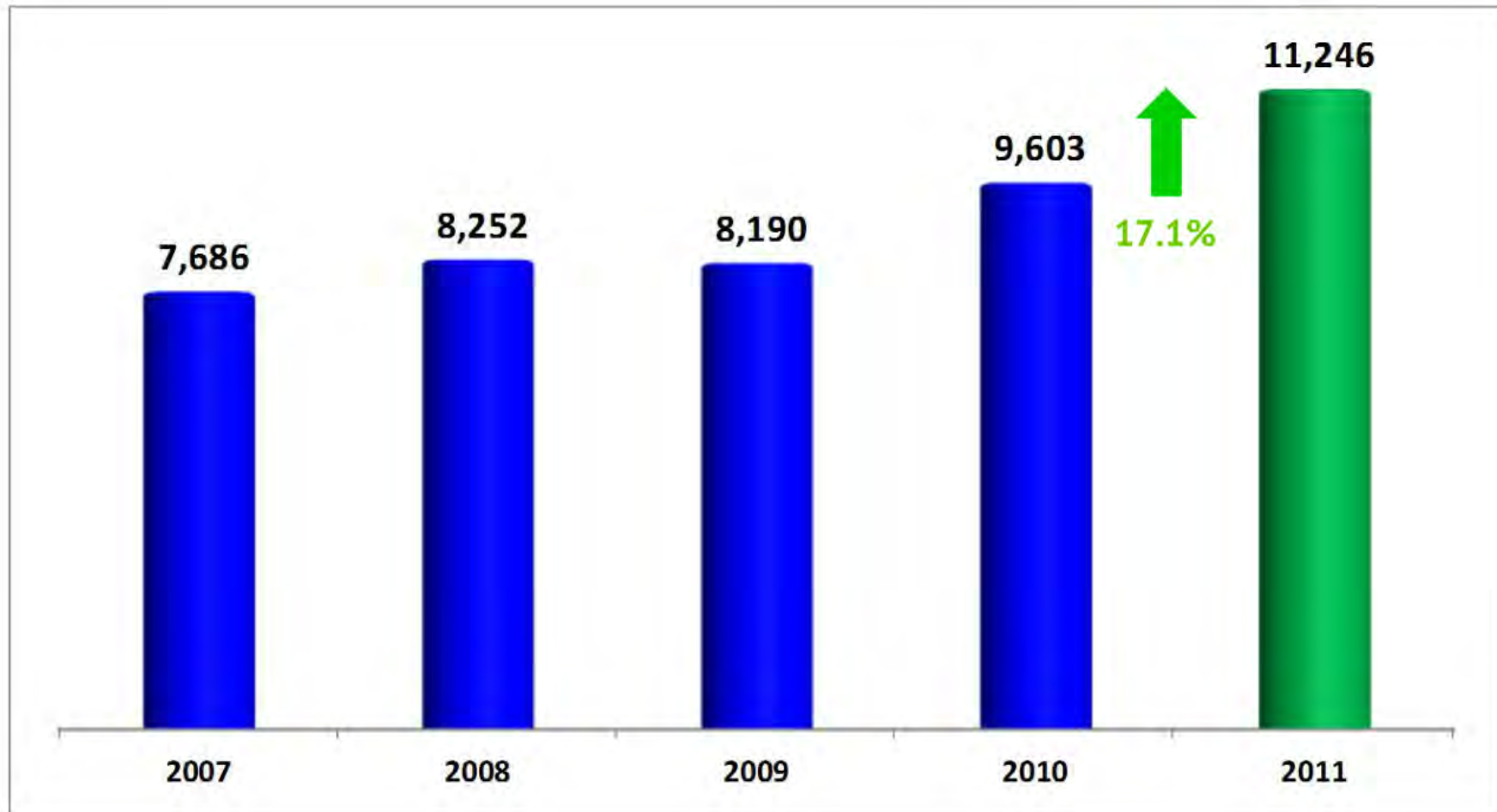
 **51%**

- Increase in digital copy sales (166%)
- NationMobile sales increase (57%)

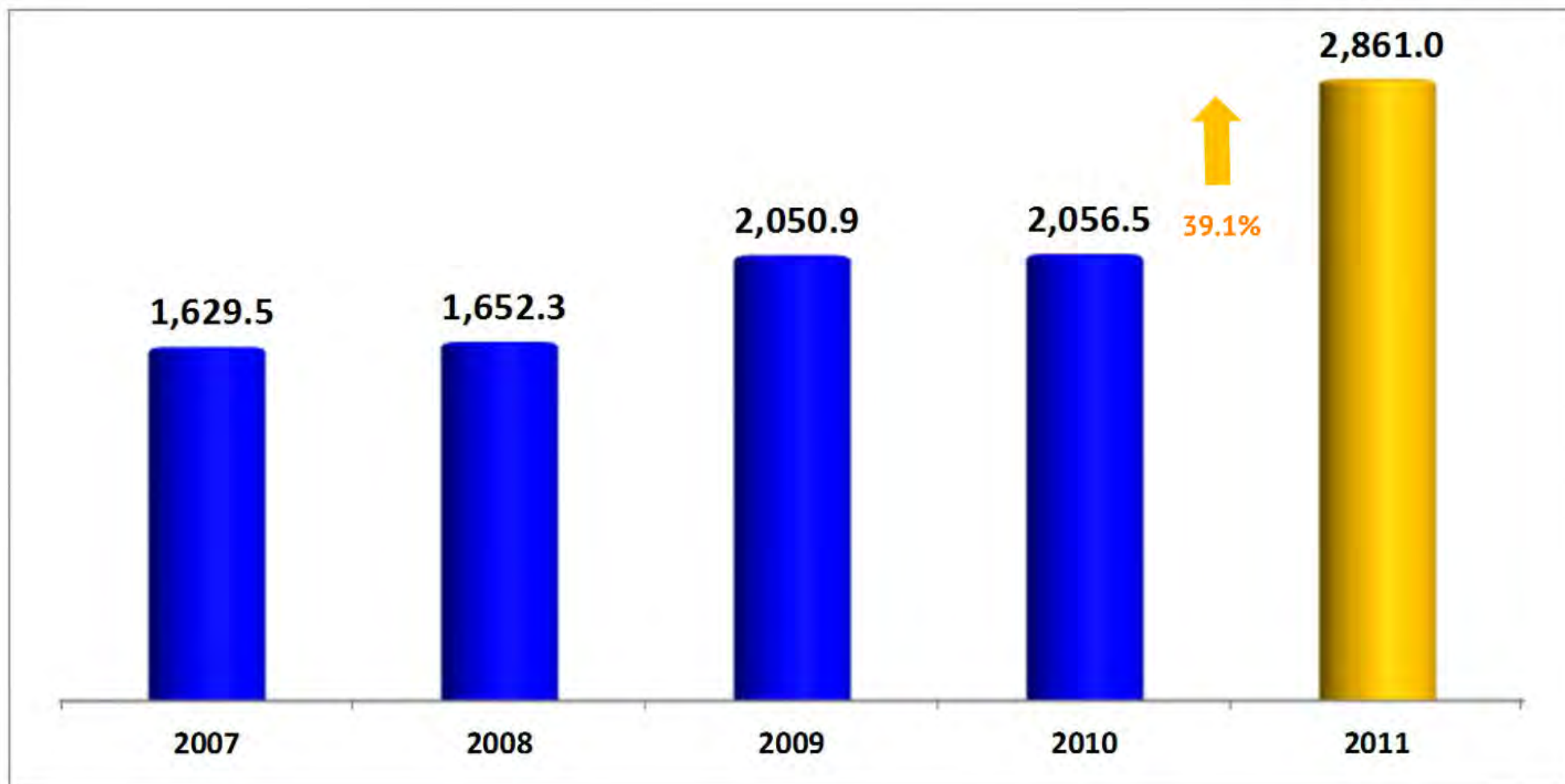
Group Results



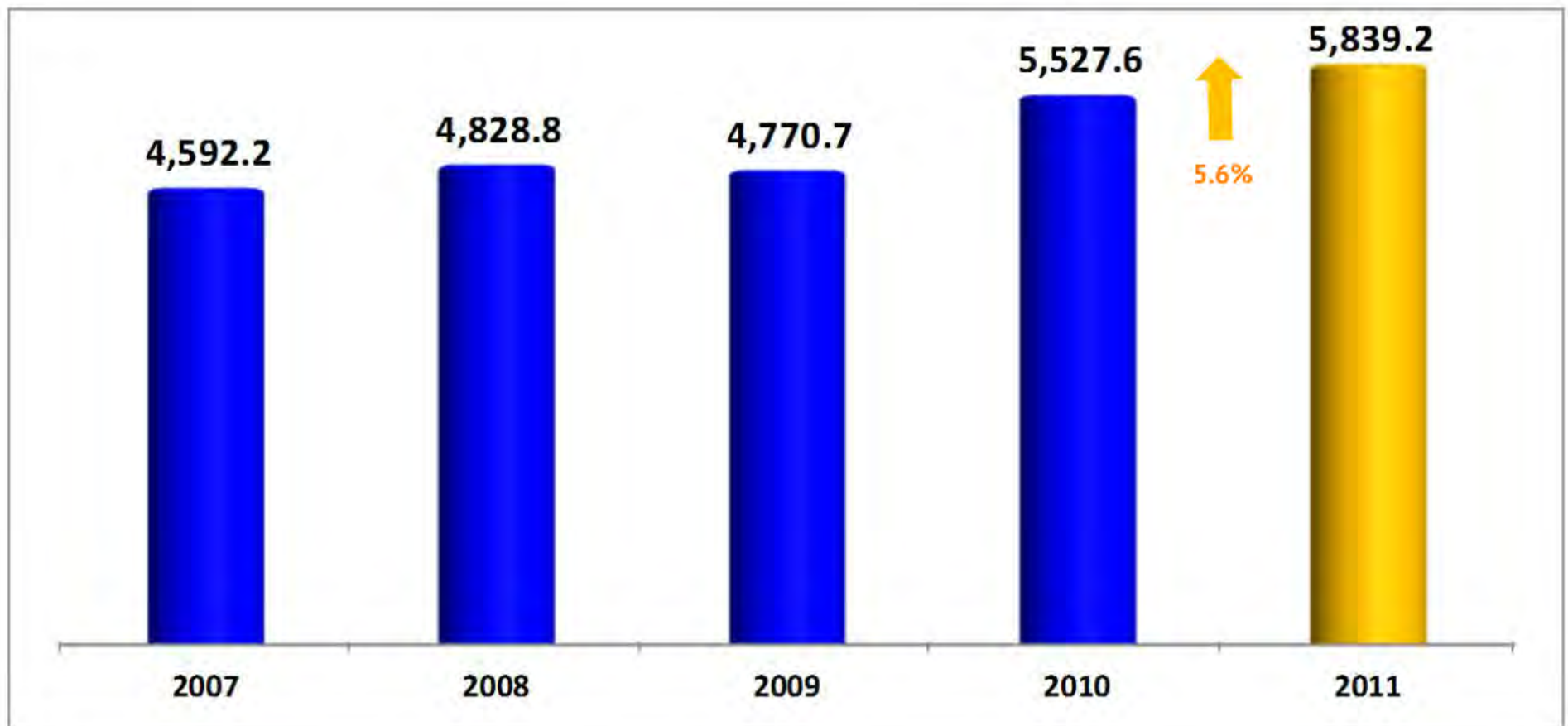
Sustained Turnover Growth (Kshs M)



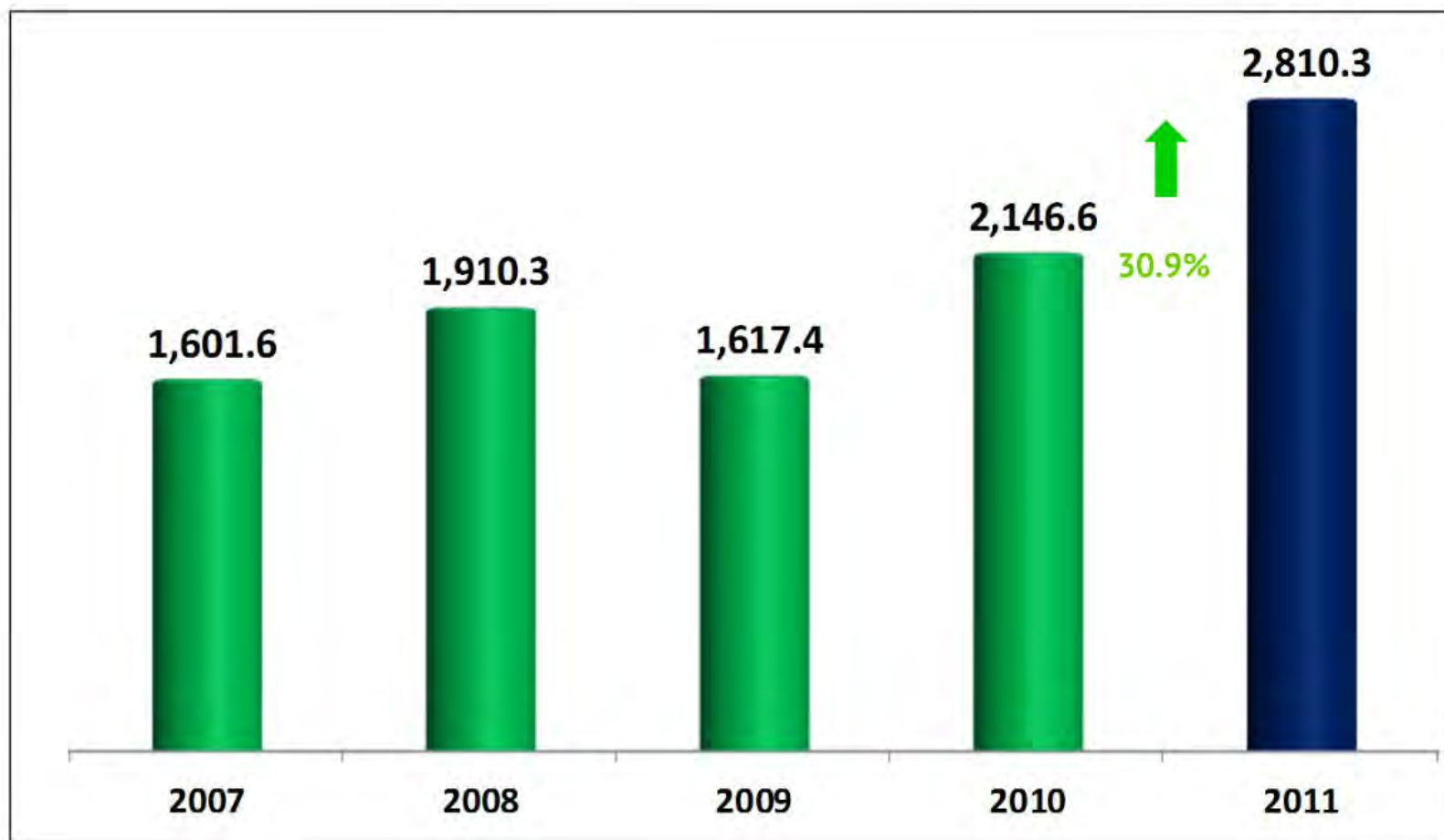
Cost of Sales (Kshs M)



Operating Expenses (Kshs M)



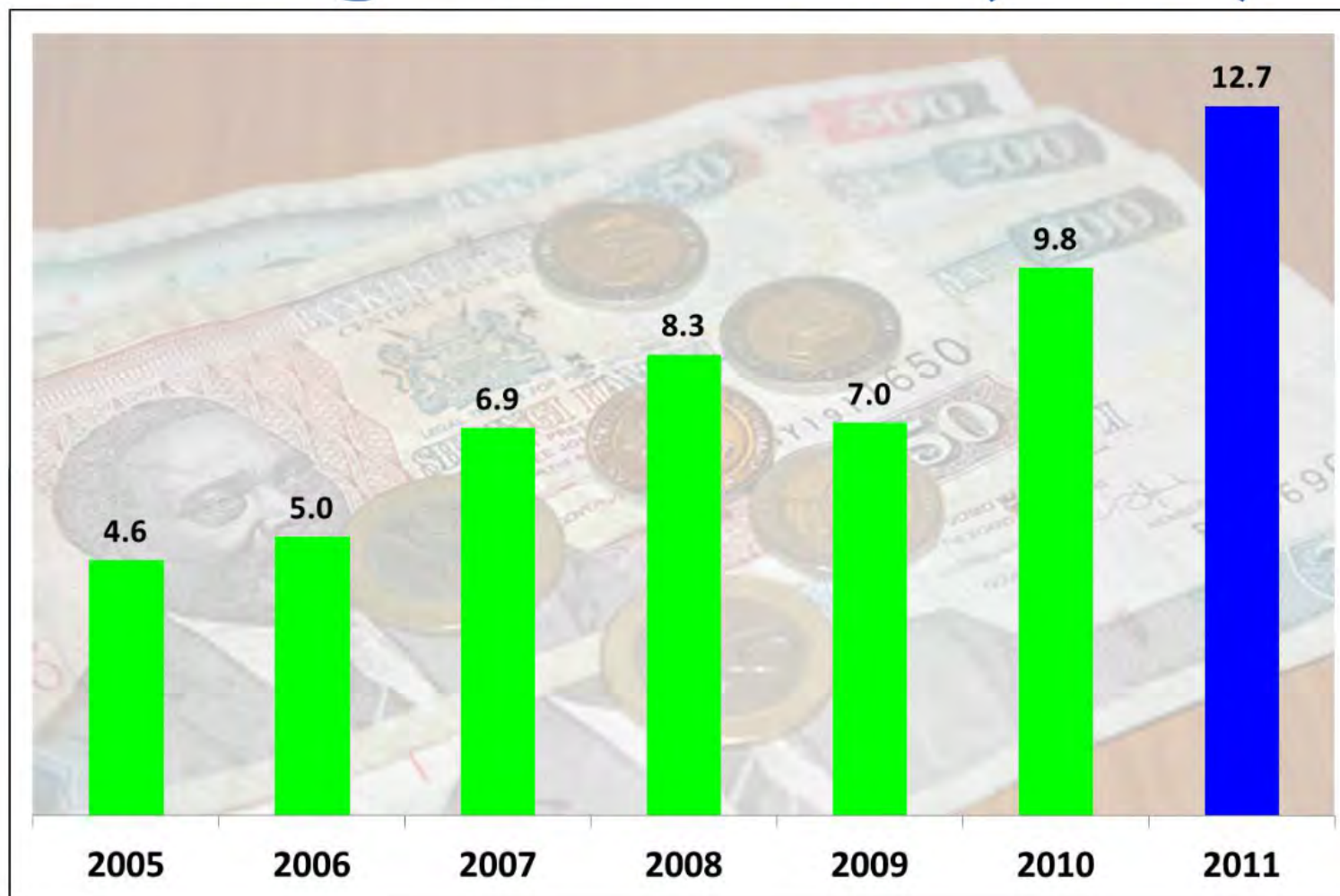
Profit Before Tax (Kshs M)



Consolidated Statement of Comprehensive Income (Kshs M)

	2010	2011	% Change
Turnover	9,602.5	11,245.8	17.1
Cost of Sales	(2,056.5)	(2,861.0)	(39.1)
Gross Profit	7,546.0	8,384.8	11.1
Operating Expenses	(5,527.6)	(5,839.2)	(5.6)
Other Income	128.2	264.7	106.5
Profit Before Tax	2,146.6	2,810.3	30.9
Income Tax	(608.2)	(803.5)	(32.1)
Profit after Tax	1,538.4	2,006.8	30.4
Other Comprehensive Income	(23.9)	(49.5)	(107.1)
Total Comprehensive Income for the Year	1,514.5	1,957.3	29.2

Earnings Per Share (Kshs)



30% growth from prior year

Condensed Cash Flow Statement (Kshs M)

	2010	2011
Cash generated from operations	2,904.0	2,529.3
Interest received	86.8	152.5
Interest paid	(1.7)	(12.7)
Tax paid	(539.9)	(955.2)
Net cash from operating activities	2,449.2	1,713.9
Net cash used in investing activities	(450.8)	(435.2)
Net cash used in financing activities	(869.1)	(1,131.3)
Increase in cash and cash equivalents	1,129.3	147.4
At start of period	1,473.5	2,603.2
Translation of net investment in foreign subsidiaries	0.4	(5.9)
At end of period	2,603.2	2,744.7

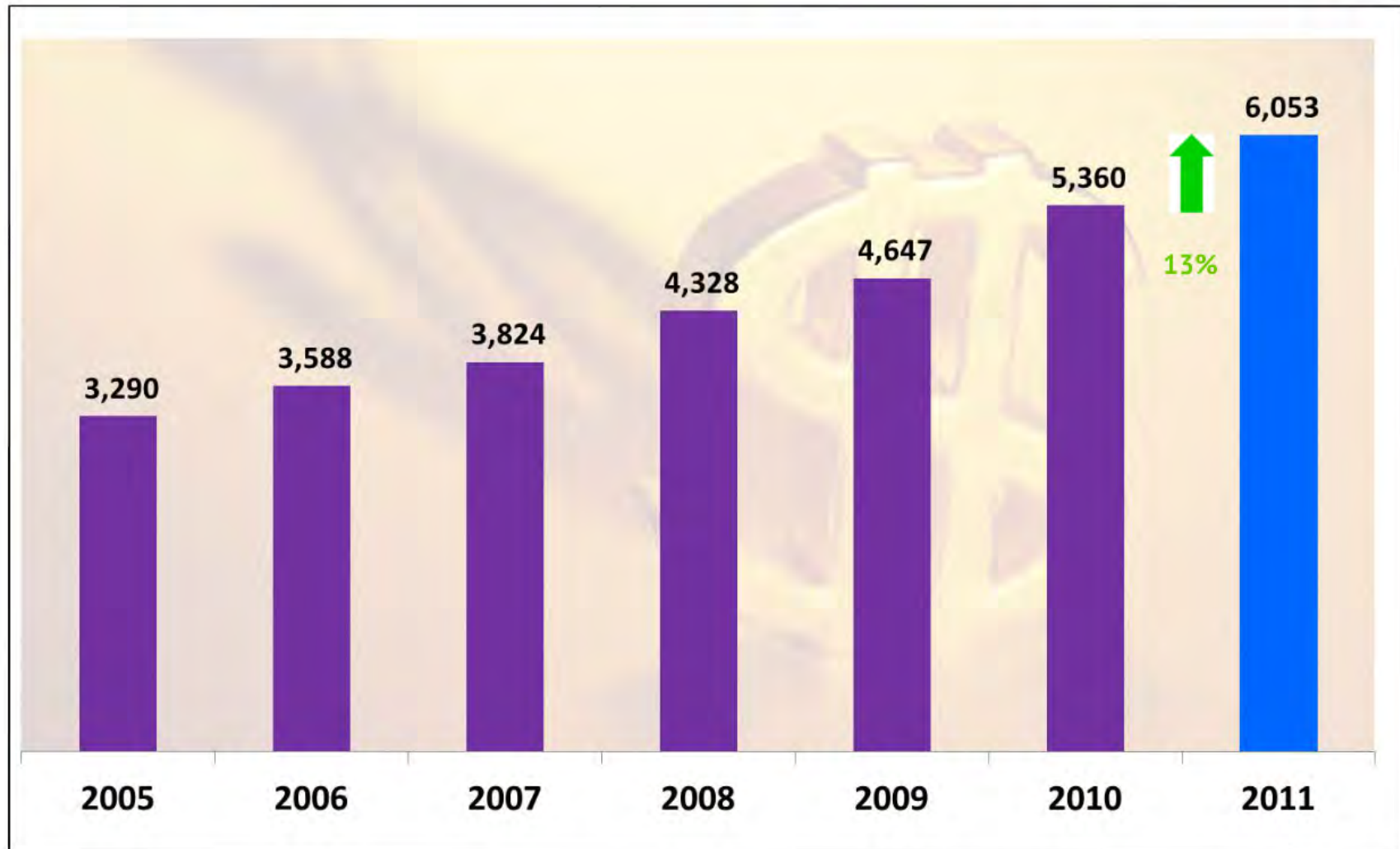
5% increase in cash position

Consolidated Statement of Financial Position (Kshs M)

	2010	2011
Capital and Reserves		
Share Capital	392.8	392.8
Other Reserves	29.7	8.2
Retained Earnings	3,916.4	4,630.2
Proposed Dividends	1,021.3	1,021.3
Minority Interest	61.9	69.9
Total Equity	5,422.1	6,122.4
Non-Current Liabilities	-	163.0
Total Equity & Non-Current Liabilities	5,422.1	6,285.4
Assets		
Non-Current Assets	2,898.4	2,961.2
Working Capital		
Current Assets	5,076.8	5,855.1
Current Liabilities	2,553.1	2,530.9
Net Working Capital	2,523.7	3,324.2
Total Assets	5,422.1	6,285.4

16% increase in total assets

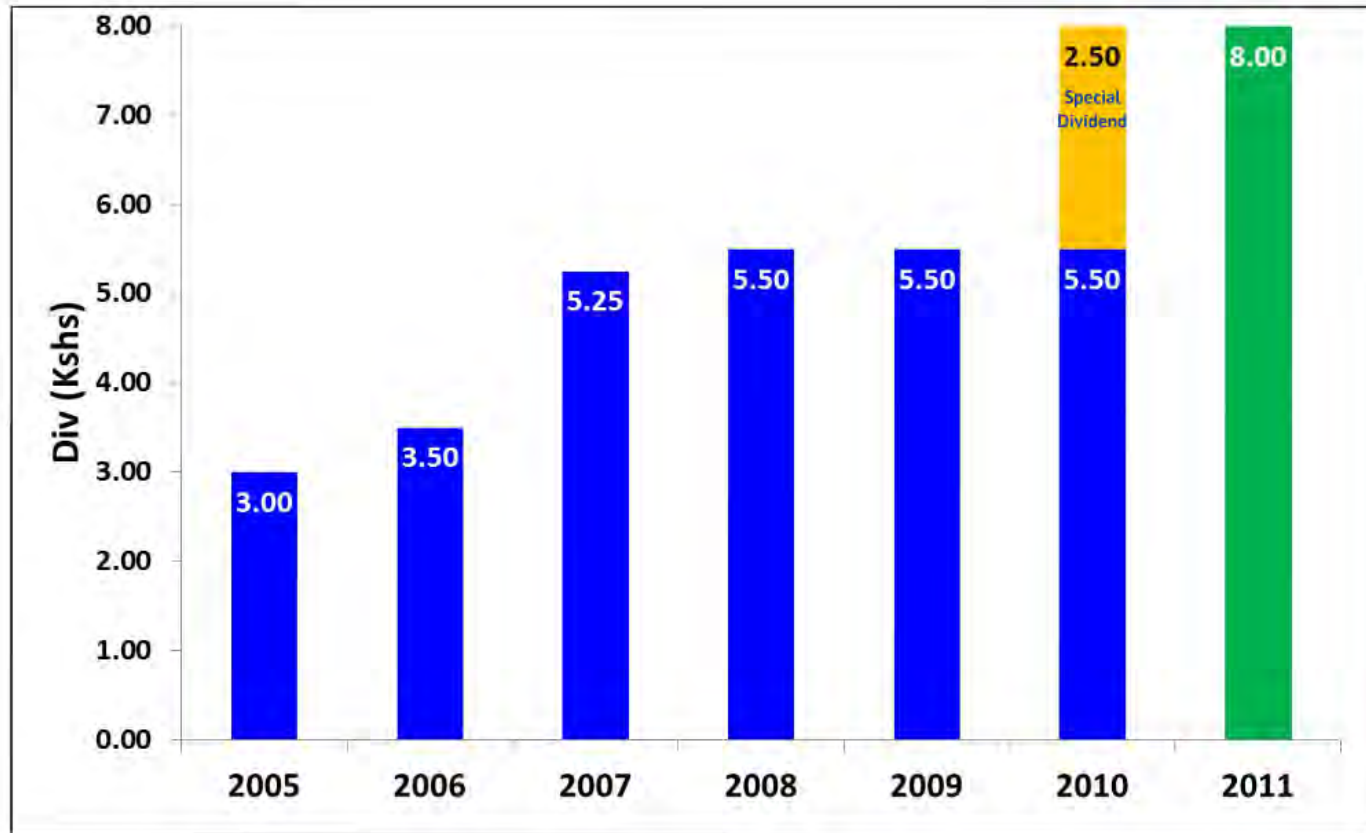
Shareholders Funds (Kshs M)



Dividends



Dividend Trend (Kshs/Share)



Ordinary dividends up 45.5% - from Kshs 5.50 to Kshs 8.00 per share

2012 Outlook



- Economic risk
- Elections
- Geographic expansion
- Continue to innovate

Rwanda Radio





Thank You

This presentation is available on
<http://www.nationmedia.com/investor.html>